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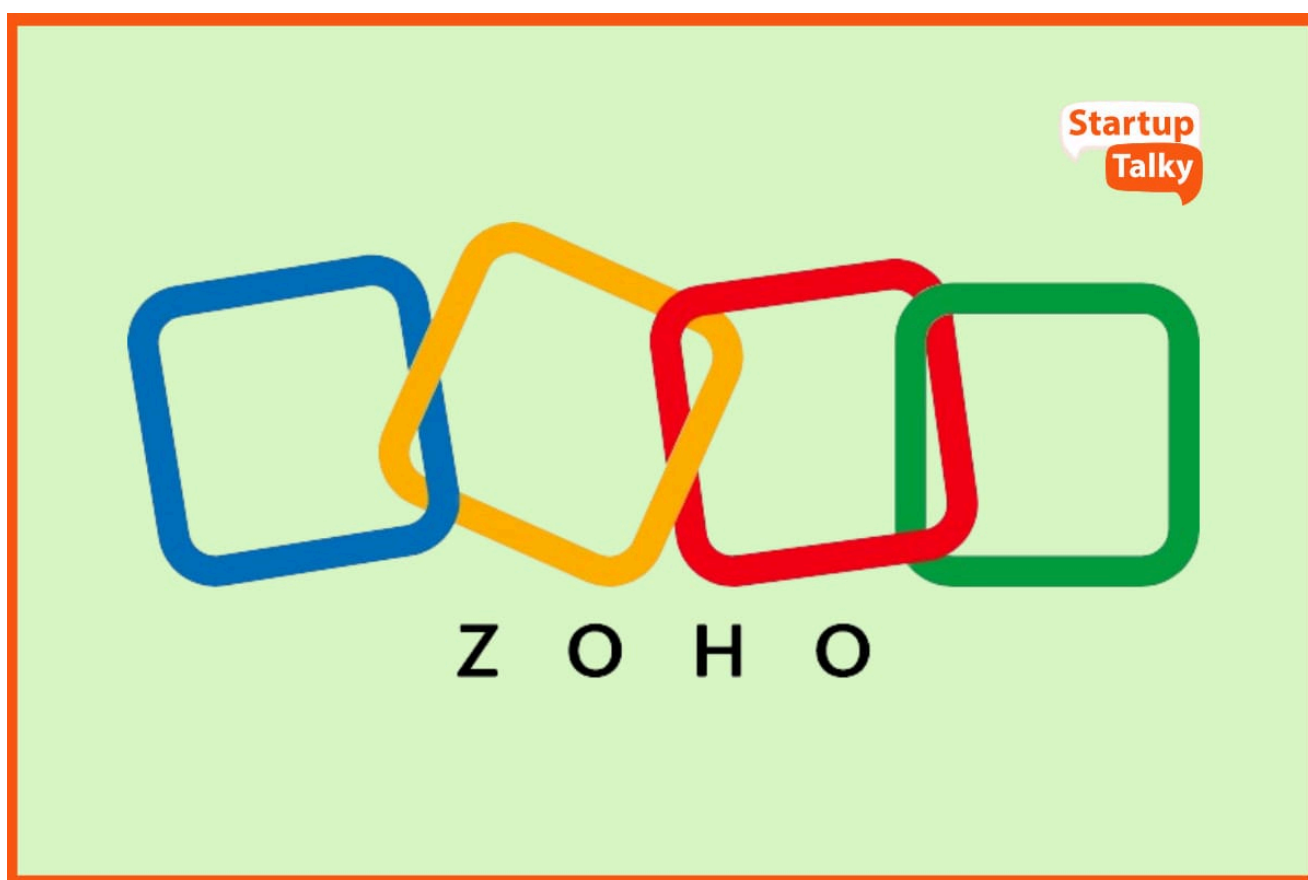


Mandagiri Praveen Kumar Reddy, Apoorva Bajj

26 Feb 2025 — 14 min read

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Zoho Success Story - How the Startup Scaled Sustainably with No Investors?

In the ever-changing and dynamic field of technology, many multinational corporations set the standard for developing web-based business tools and computer software. Leading organizations in an ever-changing sector, they are experts in creating novel approaches to solve present-day business problems, foresee requirements in the future, and identify chances for long-term expansion.

Their aim is centered on the transformative potential of software, which they see as an expression of intelligence and expertise that advances

businesses.

A notable participant in the tech sector, Zoho Corporation, is one such ex-



and Tony Thomas, has grown to become a major global player. Its headquarters are situated in Chennai, Tamil Nadu, India, while its corporate headquarters are located in Del Valle, Texas.

In this article, we will delve into the successful journey of Zoho, its startup story, history, business model, revenue model, funding, financials, growth, competitors, and more.

Zoho – Company Highlights

STARTUP NAME	ZOHO
Headquarters	Chennai, Tamil Nadu, India
Sector	Software Development
Founder	Sridhar Vembu, Tony Thomas
Founded	1996
Website	zoho.com

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About Zoho

Zoho Corporation, an Indian multinational technology company founded in 1996 by Sridhar Vembu and Tony Thomas, is a **renowned provider of computer software and web-based business tools**. With headquarters in Chennai, Tamil Nadu, India, and corporate headquarters in Del Valle, Texas, the company is well-known worldwide for its **Zoho Office Suite**. With its wide range of innovative productivity tools, Zoho is a leading force in the IT industry.

Zoho - Industry

According to the insightful analysis provided by Statista, By 2025, the revenue in this market segment is expected to reach **US\$740.89 billion**. Additionally, the software market is projected to grow at a **steady annual rate of 4.87%** from **2025 to 2029**.



REVIEW

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Zoho - Founders and Team

Zoho was founded by **Sridhar Vembu (Co-Founder and CEO)** and **Tony Thomas** in 1996. However, the company was not famous as Zoho but as AdventNet (1996-2009) back then.

Sridhar Vembu



Sridhar Vembu, Co-Founder and CEO of Zoho

×

Zoho Co-Founder and CEO Sridhar Vembu comes from a humble back-



to the US, and he successfully seized his dreams.

Sridhar studied in a Tamil Medium Government School till the 10th standard and completed his graduation from [IIT Madras](#) in 1989. Sridhar eventually received a scholarship to pursue his Masters and Ph.D. in Electrical engineering from Princeton University in New Jersey. The founder of Zoho got his doctorate degree and opted for a professorship in Australia. He moved to Australia, but after 2 weeks, he came back, resigning from the job.

He started his career at Qualcomm in 1994. Two years later, in 1996, he kickstarted his own venture, **AdventNet**, with Tony Thomas, who is also an IIT Madras graduate and was an old friend of Sridhar. It was Tony, who wrote a rough draft of networking software and needed help to sell it when Sridhar joined him as the Chief Evangelist to form AdventNet, which later came to be known as Zoho in 2009.

Sridhar Vembu was awarded the **Padma Shri**, on the occasion of India's 72nd Republic Day (2021). Sridhar is the 59th richest man in India, according to Forbes 2020. However, the founder billionaire, is known for his modest attitude and often loves to go barefoot. Sridhar once said in an interview, "I live fairly simply, I hate wearing shoes. If I can avoid it, I do."

Zoho 
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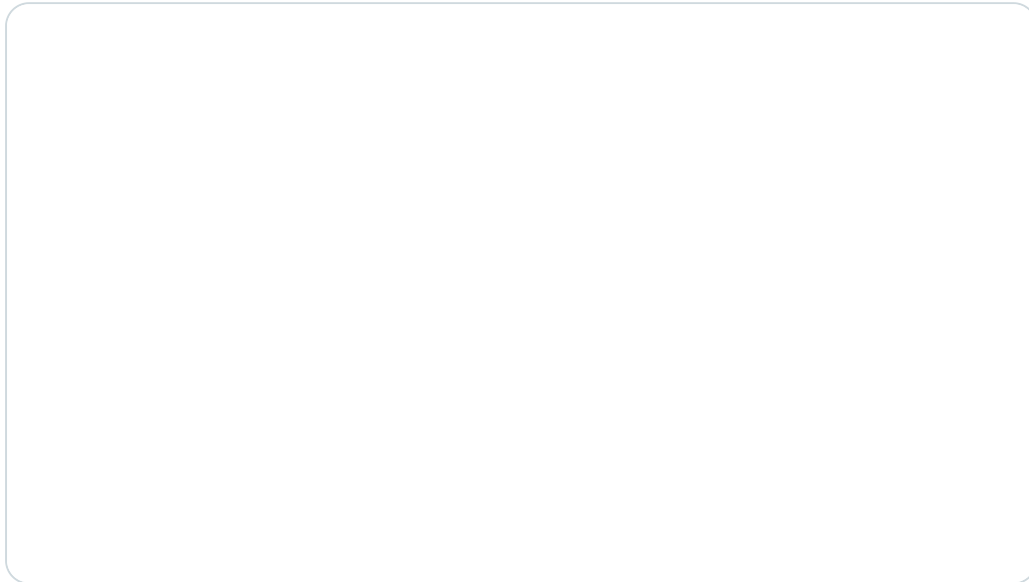


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Tony Thomas

Zoho Co-Founder Tony Thomas worked at Bell Labs, before founding **AdventNet**. Sridhar and Tony both had similar interests in **business** and **technology** which led them to build their massive venture.



Sridhar Vembu
Founder and CEO

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Zoho - Startup Story

The amazing tale of Sridhar Vembu's startup starts with his modest upbringing in a Tamil Nadu middle class family. He worked for two years at Qualcomm in San Diego after earning his degree in electrical engineering from IIT Madras in 1989 and going on to pursue a Ph.D. in the United States.

×

Many were shocked when Sridhar decided to bravely return to India despite the comforts of his life in the U.S. Driven by a visionary mindset, he



in 1996. Later on in 2009, this endeavor developed into the well-known Zoho Corporation.



Conquering the Cloud | Zoho's Journey So Far

Zoho



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Zoho Journey

Shankar Krishnamoorthy
Co-Founder, Synergita



Shankar Krishnamoorthy - Cofounder & CEO of Synergita Software |
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Zoho - Mission and Vision

Zoho's mission is "empowering small businesses and startups, simplifying customer operations, and creating ever-lasting customer relationships."

Zoho's vision is to create superior software to solve all business problems. The company's investment is more in developing its products and customer support than in focusing on [sales and marketing](#).

Zoho - Name, Tagline, and Logo

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Zoho Logo

The name '**Zoho**' was the result of the abbreviation "**Small Office/Home Office SOHO**," says founder Sridhar Vembu.

Zoho - Products and Services

Zoho Corporation has been divided into the following divisions -

- **Zoho.com** - This division offers products related to Online business, and productivity and collaboration applications.
- **ManageEngine** - Offers Enterprise Management tools.
- **Qntrl** - Qntrl's streamlined workflow orchestration platform redefines operational efficiency by making it simple for organizations to create, automate, and analyze their business processes.
- **Trainer Central** - Enhancing training capabilities, TrainerCentral makes it easy to build and offer captivating online courses as well as conduct

live workshops for learners who are located remotely.

Zoho offers over 55 products



Zoho CRM - Released in 2005, Zoho CRM ([customer relationship management](#) software) is being used by over 250,000 businesses. Zoho CRM India helps businesses manage their sales, marketing, and customer service activities all from a single platform.

Zoho Writer - This is a cloud-based word processor. Zoho writer allows one to create documents and collaborate with the team members in real-time.

Zoho Sheet, Zoho Creator, Zoho Show, Zoho Meeting, and Zoho Docs are some other popular products by Zoho.

Zoho eventually propelled in almost every sector of **sales, finance, communication, and marketing**. The company brought in a greater digital transformation with more than **50 million** users in **2019**, and introduced '**Zoho Remotely**', a toolkit to expedite work-from-home.

Zoho - Business Model

Zoho's unique [business model](#) emphasizes its dedication to high-quality products by focusing on "**Marketing via Engineering**." Using a "**freemium**" concept, customers can register for no cost and select premium upgrades as needed. Zoho prioritizes product quality, believing that powerful goods should be able to speak for themselves and only allocating low budget to marketing.

Zoho even boldly disrupted Salesforce's global user conference in 2013 by trolling them, which helped drive the company's annual growth to an astounding 35%. From its humble beginnings in a modest flat in Chennai,

Zoho has grown into one of the top suppliers of web-based business solutions, providing a feature-rich cloud platform for smooth corporate operations



Zoho - Revenue Model

Zoho makes revenue from different resources. Some of the most prominent ones are listed below:

Software Product Licensing: Zoho makes money by selling licenses for a wide variety of software packages that meet different company requirements.

Consulting Services: As part of its revenue model, Zoho provides clients with extra value by making sure their software investments are used to their full potential.

Software Maintenance: Zoho generates income by providing clients with continuous software maintenance services, which guarantee that their products receive frequent updates, patches, and additions.

Sales of Cloud Software Suite Licenses: Zoho's cloud software suite, which provides a vast array of tools and applications for enterprises, is a major source of income.

Software Subscription Price: As part of its business strategy, Zoho charges users a subscription price to access its software, which grants them access to additional features and services.



Effective Revenue Model for Startups



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Revenue model is how a business makes money. It is important for the company's long term projections. It provides Current and future potentials to earn profit. Building a gre...



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Zoho - Challenges Faced

While many businesses had difficulties in the wake of the tech bubble crash in 2001, Zoho Corporation's experience stood out. Amidst the repercussions, Zoho, a company in the B2B space, faced a lack of customers. The creators used a novel strategy in response to these difficulties by emphasizing research and development, which resulted in the development of the ground-breaking product ManageEngine.

×

Simultaneously, efforts were focused on improving marketing and sales strategies. By overcoming these challenges, Zoho not only resolved its im-



suffering from the recession and became a dominant force in the market.

Zoho - Funding and Investors

Zoho is one of those companies that is bootstrapped yet successful. **Zoho has not raised any funding to date.**

Zoho - Shareholding

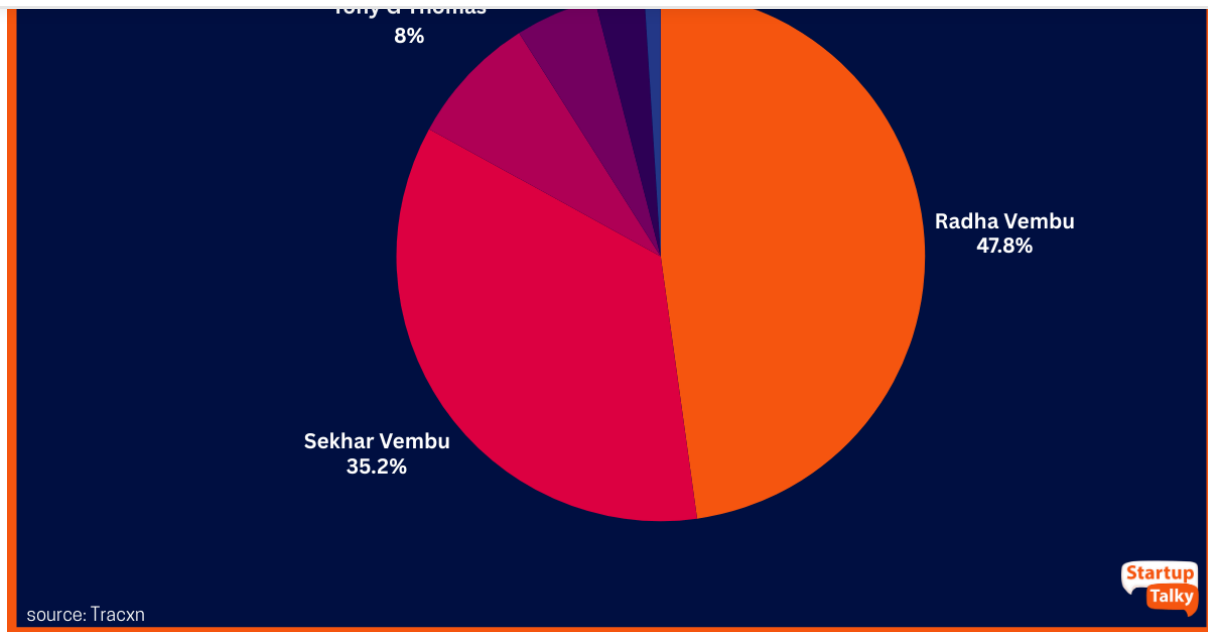
Zoho's shareholding pattern as of March 2023, sourced from Tracxn:

ZOHO SHAREHOLDERS	PERCENTAGE
Radha Vembu	47.8%
Sekhar Vembu	35.2%
Tony G Thomas	8.0%
Sridhar Vembu	5.0%
Shailesh Kumar Davey	3.0%
Sreenivas Kanumuru	1.0%
Total	100%

Zoho Shareholding (March 2023)

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Zoho Shareholding

Zoho - Investments

Zoho has invested in 9 companies to date.

Below are the details of the investments made by Zoho:

DATE	FUNDING ROUND	AMOUNT INVESTED	ORGANIZATION
May 25, 2022	Corporate Round	Rs 20 crore	GenRobotic
May 8, 2022	Non Equity Assistance	Rs 186K	Presear Softwares PVT LTD
December 9, 2021	Series C	\$15 million	Ultraviolette Automotive
September 7, 2021	Series A	\$5 million	Voxelgrids
May 30, 2020	Seed Round	-	Boson Motors
December 20, 2016	× Seed Round	\$516K	Zentron Labs

DATE	FUNDING ROUND	AMOUNT INVESTED	ORGANIZATION
September 8,	Series C	\$6.2 million	Zenedge
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2014			
January 31, 2013	Seed Round	\$524K	Zentron Labs

Exits

Zoho has exited from two companies: GenRobotic and Zenedge.

Zoho - Acquisitions

Zoho has acquired one company to date. ePoise is the maiden company that Zoho acquired on March 7, 2019.

Zoho - Growth

Zoho's noteworthy growth milestones are:

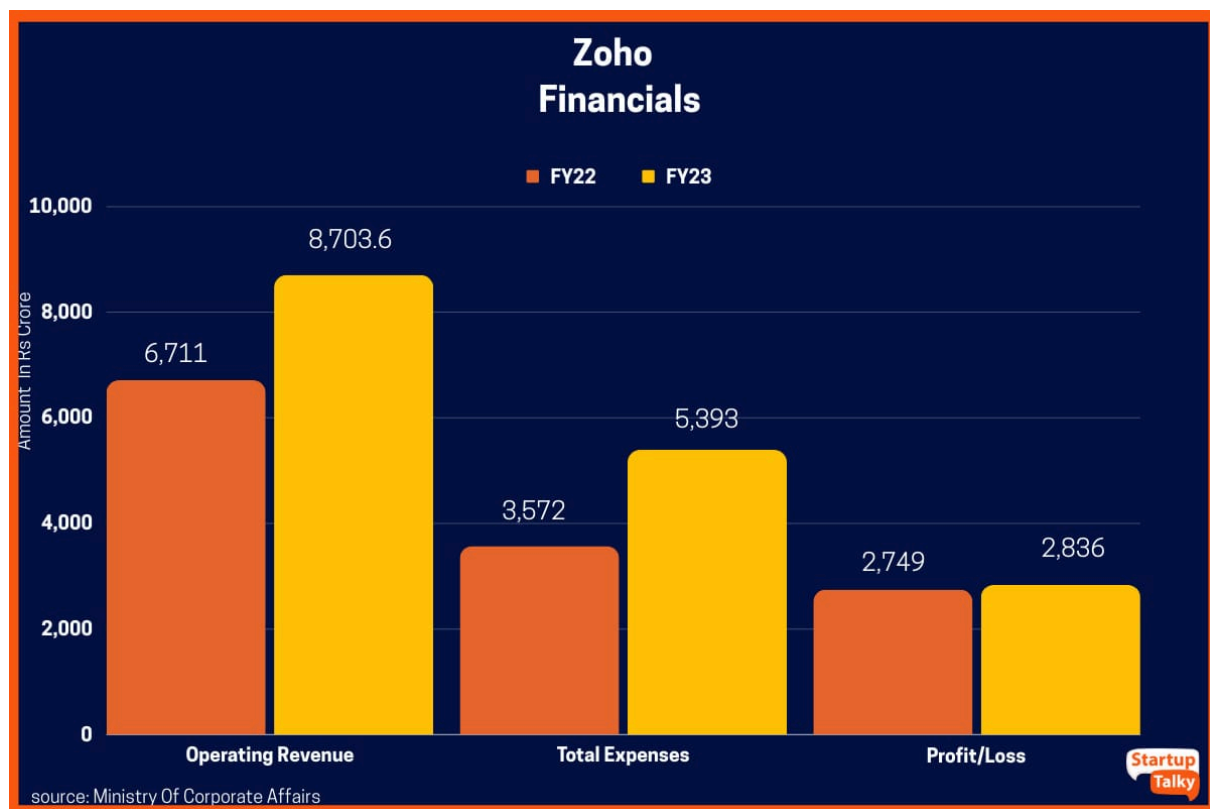
- It had served **150+ countries** as of January 2024.
- It has **14 data centers** as of January 2024.
- The company has **100 million+ users** as of January 2024.
- It has **55+ products** as of January 2024.
- The company has installed a **5 MW solar energy farm in India** to supply electricity to the data centers and offices. They are able to reduce annual carbon dioxide emissions by almost **7,200 tons**, which is the same as planting **14,400 trees** as of January 2024.
- Zoho Founder Mr. Sridhar Vembu is revered as an inspiration among the entrepreneurs of the nation and has been conferred with a Padma Shri

in 2021.



Zoho has seen strong revenue and profit growth over the last few years. Revenue increased significantly, and profit margins improved despite rising expenses.

PARTICULARS	FY23	FY22	FY21	FY20
Revenue	INR 9,158.9 crore	INR 6,998.8 crore	INR 5,442.4 crore	4,386.0
Expenses	INR 5,392.8 crore	INR 3,571.7 crore	INR 3,024.2 crore	INR 3,369.7 crore
Profit/Loss	INR 2,846.9 crore	INR 2,747.3 crore	INR 1,917.7 crore	INR 800.9 crore



Zoho Financials

Revenue grew from INR 6,998.8 crore in FY22 to INR 9,158.9 crore in FY23.



Zoho Revenue Breakdown:

REVENUE SOURCE	FY23	FY22
Revenue from operations	INR 8,703.6 crore	INR 6,710.8 crore
Other income	INR 455.3 crore	INR 288.0 crore
Total Revenue	INR 9,158.9 crore	INR 6,998.8 crore

Revenue from operations grew by INR 1,992.8 crore, while other income saw a rise of INR 167.3 crore.

Zoho Profit/Loss Breakdown:

PROFIT TYPE	FY23	FY22
Gross Profit	INR 3,766.1 crore	INR 3,427.1 crore
Operating Profit	INR 3,766.1 crore	INR 3,425.7 crore
Net Profit/Loss	INR 2,846.9 crore	INR 2,747.3 crore

Net profit increased from INR 2,747.3 crore in FY22 to INR 2,846.9 crore in FY23, reflecting stable profitability.

Zoho Expenses Breakdown:

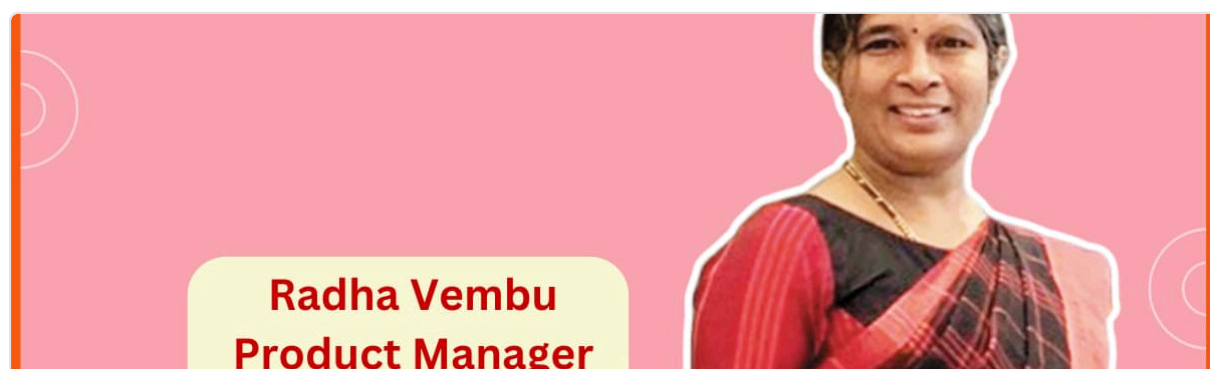
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EXPENSE TYPE	FY23	FY22
Employee Benefits	INR 2,721.6 crore	INR 1,826.8 crore
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Amortization & Depreciation	INR 312.8 crore	INR 277.3 crore
Other Expenses	INR 2,356.6 crore	INR 1,457.4 crore
Total Expenses	INR 5,392.8 crore	INR 3,571.7 crore

Expenses increased by INR 1,821.1 crore, primarily due to a rise in employee benefits and other expenses.

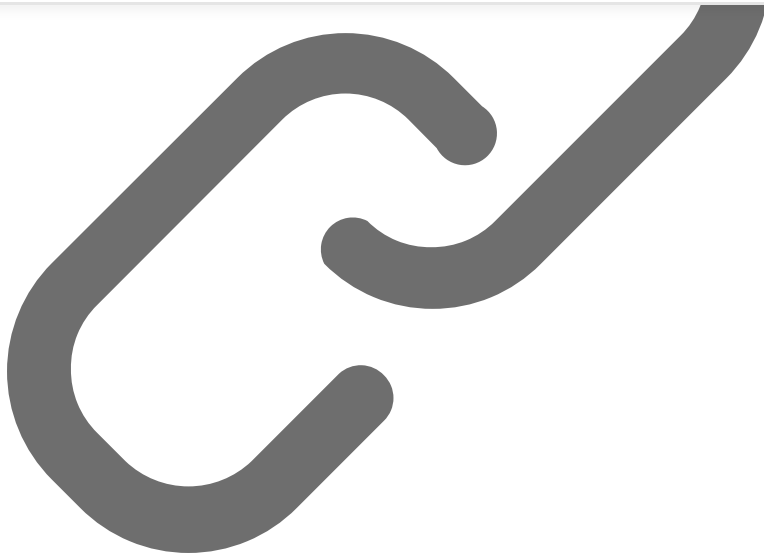
EBITDA

ZOHO FINANCIALS	FY22	FY23
EBITDA Margin	53.07%	44.55%
Expense/Rupee of ops revenue	Rs 0.53	Rs 0.62
ROCE	38.96%	31.61%



Radha Vembu: Self-Made Second Richest Woman in Software

At the age of 50, Radha Vembu has emerged as a notable figure in the Indian business arena, recognized as the wealthiest self-made woman in India as per the 360 ONE...



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Zoho - Awards and Achievements

Zoha has won several awards, some of the prominent ones are listed below:

- It won most SaaS Worthy Software in 2022.
- Zoho won Top Performer in the Data Quadrant(2021) and Emotional Footprint (2022).
- SoftwareWorld: The Best CRM Software Available Online (2022).
- 360 Quadrants: CRM Software Quadrant (2022), 360 Analysts' Choice Visionary Leader.
- It won the Leader in CRM Software Awards, Crozdesk (2021).
- Featured Clients: CRM Software Market Leader (2021).
- Top-Rated CRM Software: TrustRadius (2021).

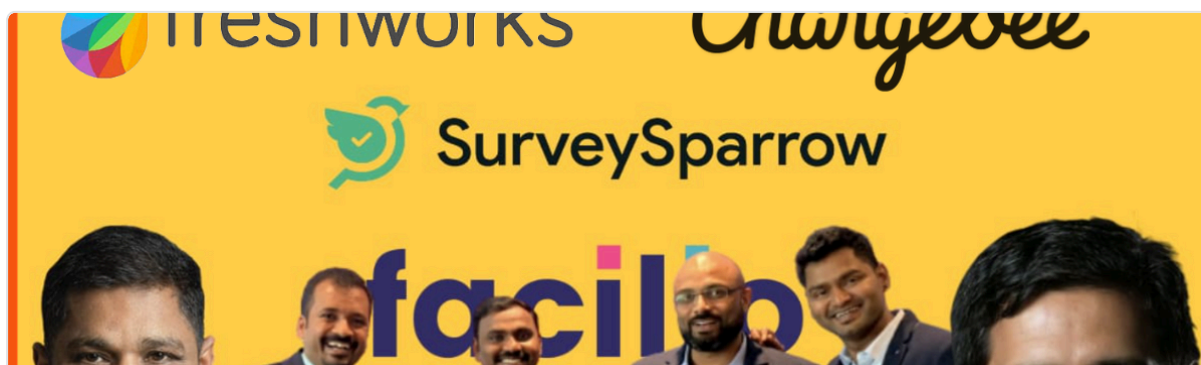
- It won the Expert's Choice Award for Finances Online (2021).
- GetApp: Top Rated Apps for Sales Forecasting (2021).



Zoho - Competitors

Major competitors of Zoho include,

- **Freshworks** - Provides SaaS products for IT, customer service, sales, marketing, and HR.
- **Salesforce** - Salesforce's products include sales cloud, service cloud, marketing cloud, commerce cloud, and community cloud.
- **Oracle** - Oracle has developed many products to meet the need of various industries. Oracle's products include applications, databases, operating systems, and cloud services.
- **Pipedrive** - Offers a fully customizable, visual sales CRM that is suitable for every sales team big or small.
- **HubSpot** - HubSpot's products include marketing software, Sales CRM, customer service software, and content management software.
- **QuickBase** - Like Zoho, QuickBase also offers a wide range of services, including supply chain management, CRM and sales management, project management, and training management.

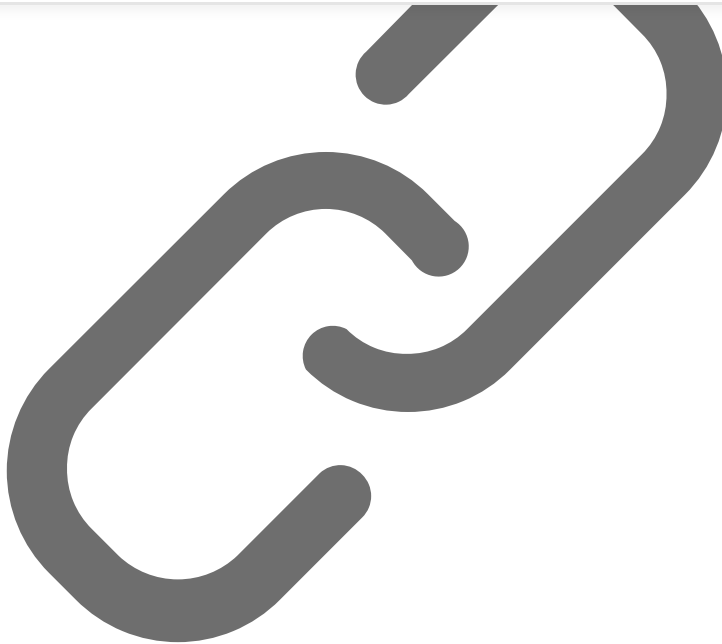


What is Zoho Mafia and Who is Involved in it?

Dive into the intriguing world of the Zoho Mafia, where innovation meets disruption. Unravel the secrets behind Zoho's entrepreneurial ecosystem.

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Zoho - Future Plans

Zoho's co-founder and CEO, Sridhar Vembu, provided YourStory with an interview in September 2024, that revealed the company's ambitious future goals and highlighted its extensive R&D efforts. Zoho Corporation plans to set up data centers in every country across the globe by the end of this decade, according to CEO Sridhar Vembu. Vembu described Zoho's early involvement in a number of projects, including collaborations, investments, and self-initiated initiatives.

Zoho Corporation, an Indian software company, plans to grow by expanding **data centers, AI, global reach, chipmaking, and sustainability efforts**. It aims to set up data centers in almost every country by 2030, ensuring better service for customers. Zoho is also investing in AI to improve operations, warehouse management, and customer support. As part of its global

expansion, the company plans to enter markets like the Middle East, Brazil, Japan, and Mexico, while also reaching rural areas in India and adapting products to local needs. Additionally, Zoho is venturing into chipmaking



for a fabrication plant. Committed to sustainability, Zoho is working on reducing its environmental impact and contributing to community development.

34 Business Ideas for Rural Areas To Implement In 2020



34 Business Ideas To Implement In Rural Areas [In 2020]

This post outlines 34 business ideas that are ideal for rural areas. These ventures are known for their profitability and scalability.

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FAQs

Is Zoho Indian Company?

Yes. Zoho is an Indian company headquartered in Chennai, Tamil Nadu, India.

Who is Sridhar Vembu?

Sridhar Vembu is the Founder of Zoho. He was awarded the **Padma Shri**, on the occasion of India's 72nd Republic Day (2021).



What is Zoho company?

Zoho is a SaaS company that offers online software, including e-mail, word processors, spreadsheets, wikis, and even customer relationship management. It is the Zoho mail company that functions diversely as a CRM and a suite.

Which companies use Zoho?

IIFL, SpiceJet, Deloitte, KPMG, and Amazon India are the top companies that use Zoho CRM.

Where is the Zoho Corporation headquarters?

The Zoho Corporation headquarters are listed in Chennai, Tamil Nadu, India.

What is the Zoho Corporation Chennai Address?

If you are wondering about the Zoho Corporation Chennai address, then the research and development campus is located in **Estancia IT Park, Chennai**, whereas the product Zoho Desk was built and launched at the Zoho office at Tenkasi.

What is Zoho business model?

Zoho follows a bootstrapped SaaS business model. It offers a suite of cloud-based software for businesses, including CRM, collaboration, finance, and IT tools. Revenue comes from subscription fees, with a focus

on affordability and no external funding. It targets small to large enterprises worldwide.



How does Zoho make money?

Zoho makes money through subscription fees for its cloud-based business software, including CRM, finance, and IT tools. It follows a freemium model, offering free basic plans and charging for premium features.

How Zoho started?

Zoho was started in 1996 by Sridhar Vembu and Tony Thomas as AdventNet, focusing on network management software. In 2009, it re-branded to Zoho and shifted to cloud-based business software. It grew without external funding, focusing on affordable SaaS solutions.

Why Zoho is so successful?

Zoho's success comes from its bootstrapped growth, maintaining full control without external funding. Its affordable SaaS model offers high-value business software at low costs, while a diverse product suite covers CRM, finance, and IT needs. A strong focus on in-house R&D drives innovation, and its global reach serves businesses of all sizes. Additionally, Zoho prioritizes an employee-centric culture, investing in talent and training. Its strategy of self-reliance, affordability, and innovation ensures sustained growth.

What is Zoho revenue?

Revenue of Zoho Corporation grew from INR 6,998.8 crore in FY22 to INR 9,158.9 crore in FY23. Profit also rose from INR 2,747.3 crore to INR 2,846.9 crore despite an increase in expenses.

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Who founded Zoho in 1996?

Bill Gates

Sridhar Vembu

Tony Thomas

Elon Musk

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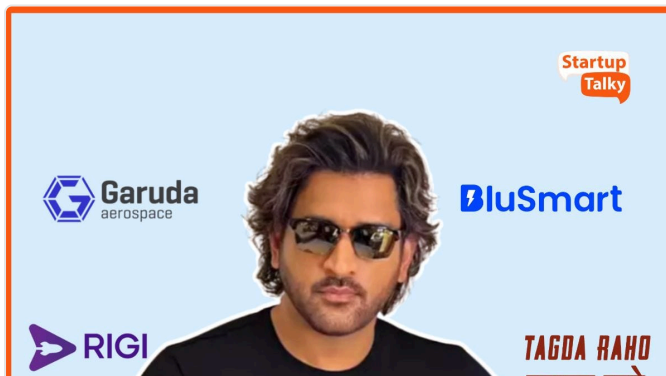
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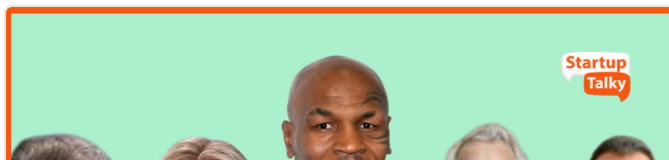


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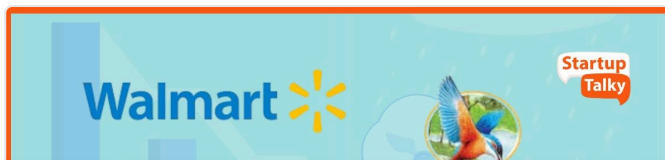
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